Porter's Five Forces

who squeezes your profit?

Operations Management and Strategic Management (Strategic Management)

In simple words *Five pressures decide how profitable an industry is. Find which force is strong and plan around it.*

1 Porter's Five Forces

A model to analyse industry structure and its attractiveness through five competitive forces that shape long-run profit.

Industry-level tool, not firm-level

2 Substitutes

Products from a different industry that meet the same customer need, e.g. tea for coffee, rail for air travel.

Different industry, same need

1. The five forces are: new entrants, supplier power, buyer power, substitutes, rivalry.
2. Stronger forces mean lower industry profit; weaker forces mean higher profit.
3. High entry barriers (e.g. licensing, scale) reduce the threat of new entrants.
4. Rivalry is among firms in the same industry; substitutes come from other industries.



Swipe for the summary →

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The Five Forces Table

Porter's Five Forces Model

match situation to force

Force	Strong when
Threat of new entrants	Entry barriers are low
Power of suppliers	Few suppliers, switching is costly
Power of buyers	Few big buyers, easy to switch
Threat of substitutes	Other-industry options meet same need
Rivalry among firms	Many equal rivals, low differentiation

Match the situation to the force! Read the case, ask who is pressing on profit, then name that one force.

Swipe for a memory trick ⟶

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STUDY TRICK

Porter's Five Forces Model

five faces at your shop

NEWCOMER, SELLER, BUYER, OTHER, RIVAL

Picture your shop: newcomers want to open, sellers supply you, buyers bargain, other ways to meet the same need (substitutes) pull customers, rival shops around you compete.

HOW TO ATTEMPT IT

1 Read the situation in the case → 2 Ask who is pressing on profit →

3 Name the matching force → 4 Say strong or weak, with reason →

5 Suggest a response

EXAM TIP

Same-industry look-alike rivals point to rivalry. A different-industry product meeting the same need points to substitutes.

DOUBT BUSTER

Are government and technology also forces? No. Porter's model has exactly five forces. Government and technology matter through their effect on the five (e.g. regulation raising entry barriers); wider macro factors are in PESTEL.

Swipe for common mistakes →

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COMMON MISTAKES

Porter's Five Forces Model

don't mix up the forces

✗ Listing government as the sixth force

✓ Porter has five forces; government acts through them, e.g. licensing raises entry barriers.

✗ Calling a rival brand in the same industry a substitute

✓ Same-industry competitors are rivalry; substitutes come from a different industry meeting the same need.

✗ Applying the model to one firm's internal strengths

✓ It analyses the industry; internal strengths and weaknesses belong to other tools such as SWOT.

TOMORROW'S CMA INTER MCQ TESTS THIS! Revise it tonight, then try the MCQ.

Save this for revision!

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